Theory of Cost

Understanding Behaviour of Firm

17 April 2026

Cost of Production

1. Accounting Cost
2. Economic cost
3. Opportunity cost
4. Sunk cost

Reference

- Section 13-1, *Chapter 13 of Principle of Microeconomics by Mankiw*

Or Section 7.1, Chapter 7 of Microeconomics by Robert S. Pindyck & Daniel L. Rubinfeld

Relationship between ATC, AVC, AFC, MC

- Total Revenue (TR), Total Cost (TC) and Profit
- TC, TF, TVC
- ATC (AC), AFC, AVC
- Marginal Cost (MC) and Marginal Product (MP), law of diminishing returns

- TC= TF + TVC
- ATC= AFC + AVC

Reference

> *Section 13-2 & 13-3, Chapter 13 of Principle of Microeconomics by Mankiw*

Example: A cost function of a firm

RATE OF OUTPUT (UNITS PER YEAR)	FIXED COST (DOLLARS PER YEAR)	VARIABLE COST (DOLLARS PER YEAR)	TOTAL COST (DOLLARS PER YEAR)
	(FC) (1)	(VC) (2)	(TC) (3)
0	50	0	50
1	50	50	100
2	50	78	128
3	50	98	148
4	50	112	162
5	50	130	180
6	50	150	200
7	50	175	225
8	50	204	254
9	50	242	292
10	50	300	350
11	50	385	435

How Markets Work:

Elasticities & Different Types of Goods

Price Elasticity of Demand ($|e_d|$)

Degree of price elasticity of demand

1. Elastic demand ($e_d>1$)

2. Inelastic demand ($e_d<1$)

3. Unitary elastic demand ($e_d=1$)

4. Perfectly inelastic demand ($e_d=0$)

5. Perfectly elastic demand ($e_d=\infty$)

- Arc price elasticity

- Income elasticity

- Cross-elasticity of demand